

NMLS SAFE MLO

Full-Length Practice Exam Phase 3 — Exam 1

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 3 — Exam 1 — QUESTIONS (1–120)**■ Federal Laws ■***[Federal Laws — TRID]*

1. Under the TRID rule, which disclosure replaces the former Good Faith Estimate and Truth-in-Lending disclosure?

- A) Closing Disclosure
- B) Loan Estimate
- C) HUD-1 Settlement Statement
- D) Mortgage Loan Origination Agreement

[Federal Laws — TRID]

2. A creditor issues a Loan Estimate on Monday. The borrower must receive it no later than:

- A) 3 business days after application
- B) 7 calendar days before consummation
- C) 3 business days before consummation
- D) 1 business day before consummation

[Federal Laws — TRID]

3. Which of the following is NOT one of the six pieces of information that trigger TRID's application definition?

- A) Borrower's name
- B) Estimated value of property
- C) Social Security number
- D) Desired loan amount

[Federal Laws — TRID]

4. The Closing Disclosure must be received by the consumer at least how many business days before loan consummation?

- A) 1 business day
- B) 3 business days
- C) 5 business days
- D) 7 business days

[Federal Laws — RESPA]

5. RESPA Section 8 prohibits kickbacks in connection with federally related mortgage loans. Which of the following BEST describes a kickback under Section 8?

- A) A fee charged by a title company for settlement services
- B) A payment for services actually performed
- C) A thing of value given for referring settlement service business
- D) An affiliated business arrangement disclosed in writing

[Federal Laws — RESPA]

6. Under RESPA, a lender may require a borrower to use a particular settlement service provider ONLY if:

- A) The borrower consents in writing
- B) The lender discloses the affiliated relationship
- C) The lender pays for the required service
- D) The service provider is licensed in the state

[Federal Laws — RESPA]

7. Which of the following transactions is exempt from RESPA coverage?

- A) A \$150,000 FHA purchase loan
- B) A 25-acre farm purchase with a dwelling
- C) A VA refinance loan
- D) A conventional loan on a 4-unit rental property

[Federal Laws — TILA]

8. Regulation Z requires that the Annual Percentage Rate (APR) be disclosed to the borrower. The APR MOST ACCURATELY represents:

- A) The interest rate on the loan note
- B) The cost of credit expressed as a yearly rate including certain fees
- C) The total amount of interest paid over the loan term
- D) The rate used to calculate the monthly payment

[Federal Laws — TILA]

9. Under TILA's right of rescission for refinances of a principal dwelling, the borrower has the right to cancel the transaction for how long?

- A) 24 hours after signing
- B) 3 business days after the latest of signing, receiving the TIL, or receiving the rescission notice
- C) 5 business days after closing
- D) 7 calendar days after application

[Federal Laws — TILA]

10. Which of the following loans is NOT subject to TILA's right of rescission?

- A) A cash-out refinance on a primary residence
- B) A home equity line of credit
- C) A purchase money mortgage on a primary residence
- D) A second mortgage on a primary residence

[Federal Laws — ECOA]

11. Regulation B requires that a lender notify an applicant of a credit decision within how many days of completing a loan application?

- A) 15 days
- B) 30 days
- C) 45 days
- D) 60 days

[Federal Laws — ECOA]

12. Under ECOA, which of the following bases for denying credit is permissible?

- A) The applicant is 22 years old
- B) The applicant receives public assistance
- C) The applicant's credit history shows multiple late payments
- D) The applicant's spouse earns the primary income

[Federal Laws — ECOA]

13. A lender requires a married female applicant to have her husband co-sign a loan even though she qualifies on her own income. This MOST LIKELY violates:

- A) RESPA Section 8
- B) ECOA's prohibition on marital status discrimination
- C) TRID's disclosure requirements

D) HMDA reporting requirements

[Federal Laws — Fair Housing]

14. The Fair Housing Act prohibits discrimination in residential real estate transactions based on all of the following EXCEPT:

- A) Race
- B) National origin
- C) Sexual orientation at the federal level (pre-2021 interpretation)
- D) Religion

[Federal Laws — Fair Housing]

15. A real estate agent steers African American buyers away from listings in predominantly white neighborhoods. This practice is known as:

- A) Redlining
- B) Blockbusting
- C) Steering
- D) Flipping

[Federal Laws — HOEPA]

16. Under HOEPA, a high-cost mortgage is triggered when the APR exceeds the Average Prime Offer Rate (APOR) by more than:

- A) 1.5 percentage points for first-lien loans
- B) 6.5 percentage points for first-lien loans
- C) 3 percentage points for subordinate-lien loans
- D) 8.5 percentage points for personal property loans

[Federal Laws — HOEPA]

17. Which of the following is PROHIBITED for high-cost mortgages under HOEPA?

- A) Fixed monthly payments
- B) Prepayment penalties after the first year
- C) Balloon payments in most cases
- D) Escrow accounts for taxes and insurance

[Federal Laws — HMDA]

18. Under HMDA, which institutions are required to collect and report mortgage loan data?

- A) All mortgage lenders regardless of asset size
- B) Financial institutions meeting asset-size and loan-volume thresholds
- C) Only federally chartered banks and thrifts
- D) Only lenders in metropolitan statistical areas

[Federal Laws — HMDA]

19. The primary purpose of HMDA data collection is to:

- A) Set maximum interest rates for mortgage loans
- B) Identify possible discriminatory lending patterns and fair lending law violations
- C) Determine property tax assessments
- D) Establish required reserves for mortgage servicers

[Federal Laws — TRID]

20. A valid changed circumstance under TRID allows the lender to re-issue a Loan Estimate with revised fees. Which of the following is a valid changed circumstance?

- A) The lender discovers the borrower's credit score is lower than expected after the LE was issued
- B) The lender made an error in calculating the origination fee
- C) The borrower requests a longer rate lock after the LE was issued
- D) The lender's overhead costs increased

[Federal Laws — RESPA]

21. An affiliated business arrangement (AfBA) under RESPA requires all of the following EXCEPT:

- A) Written disclosure of the arrangement
- B) Disclosure of the estimated charges
- C) Freedom of the consumer to use alternative providers
- D) A guarantee that affiliated providers will offer the lowest fees

[Federal Laws — TILA]

22. Which of the following fees is EXCLUDED from the finance charge calculation under TILA?

- A) Loan origination fees
- B) Points paid to reduce the interest rate
- C) Hazard insurance premiums paid to an insurer chosen by the borrower
- D) Private mortgage insurance premiums

[Federal Laws — ECOA]

23. Under Regulation B, a lender must retain records of credit applications for at least:

- A) 12 months
- B) 25 months
- C) 36 months
- D) 60 months

[Federal Laws — Fair Housing]

24. Which of the following advertising practices violates the Fair Housing Act?

- A) Advertising a property as 'near excellent schools'
- B) Using the phrase 'ideal for couples' in a rental ad
- C) Describing square footage and bedroom count
- D) Listing the monthly HOA fee

[Federal Laws — HOEPA]

25. The points-and-fees trigger for a high-cost mortgage applies when total points and fees exceed:

- A) 2% of the total loan amount
- B) 3% of the total loan amount for loans $\geq$ \$20,000
- C) 5% of the total loan amount
- D) 8% of the total loan amount

[Federal Laws — HMDA]

26. Under HMDA, an MLO must report a loan application as 'withdrawn' when:

- A) The lender denies the application before the borrower submits all documents
- B) The borrower explicitly withdraws the application before a credit decision is made
- C) The loan closes and funds
- D) The borrower fails to respond to an incompleteness notice within 30 days

[Federal Laws — TRID]

27. Under TRID, which of the following triggers a mandatory re-disclosure of the Closing Disclosure with a new 3-business-day waiting period?

- A) A change in settlement agent
- B) The APR increases by more than 0.125% (1/8%)
- C) A minor change in the prepaid interest amount
- D) A change in the title insurance premium

[Federal Laws — RESPA]

28. A mortgage broker receives a marketing service agreement (MSA) payment from a title company. Under RESPA Section 8, this payment is:

- A) Permissible if fair market value is paid for genuine marketing services actually performed
- B) Always permissible as a business arrangement
- C) Permissible only if disclosed to the borrower
- D) Always a Section 8 violation regardless of services performed

■ ■ General Mortgage ■ ■

[General Mortgage — FHA Loans]

29. The maximum FHA loan-to-value ratio for a purchase transaction where the borrower's credit score is 580 or higher is:

- A) 90%
- B) 95%
- C) 96.5%
- D) 100%

[General Mortgage — FHA Loans]

30. FHA's Upfront Mortgage Insurance Premium (UFMIP) is currently set at:

- A) 0.55% of the loan amount
- B) 1.75% of the loan amount
- C) 2.5% of the loan amount
- D) 3.5% of the loan amount

[General Mortgage — VA Loans]

31. Which of the following is TRUE regarding VA loan funding fees?

- A) All veterans pay the same funding fee regardless of down payment
- B) Disabled veterans with service-connected disabilities are exempt from the funding fee
- C) The funding fee is always 2.15% of the loan amount
- D) Funding fees cannot be financed into the loan

[General Mortgage — VA Loans]

32. The VA loan entitlement concept means that:

- A) Veterans may only purchase one home in their lifetime using a VA loan
- B) The VA guarantees up to a certain amount, protecting the lender against losses
- C) All VA loans are capped at the conforming loan limit
- D) Veterans must repay the VA if the home is foreclosed

[General Mortgage — Conventional/PMI]

33. Private Mortgage Insurance (PMI) is required on conventional loans when the LTV exceeds:

- A) 85%
- B) 80%
- C) 90%
- D) 95%

[General Mortgage — Conventional/PMI]

34. Under the Homeowners Protection Act, a borrower may REQUEST cancellation of PMI when:

- A) The loan balance reaches 80% of the ORIGINAL property value based on payments
- B) The loan balance reaches 78% of the original value based on the amortization schedule
- C) The borrower has made 24 consecutive on-time payments
- D) The property appreciates and LTV drops below 80%

[General Mortgage — ARM Products]

35. For an adjustable-rate mortgage, which index is most commonly associated with conventional ARM products?

- A) Prime Rate
- B) Constant Maturity Treasury (CMT) or SOFR
- C) LIBOR (historical)
- D) Federal Funds Rate

[General Mortgage — ARM Products]

36. A 5/1 ARM has an initial rate cap of 2%, a periodic cap of 2%, and a lifetime cap of 5%. If the initial rate is 4%, what is the maximum rate possible at the first adjustment?

- A) 6%
- B) 9%
- C) 5%
- D) 8%

[General Mortgage — Underwriting/QM]

37. Under the Ability-to-Repay (ATR) rule, which loan category provides a legal safe harbor presumption that the ATR requirement has been met?

- A) Non-QM loans
- B) Qualified Mortgage (QM) loans
- C) Interest-only loans
- D) Balloon payment loans

[General Mortgage — Underwriting/QM]

38. The general Qualified Mortgage rule limits points and fees to no more than what percentage of the total loan amount for loans $\geq$ \$100,000?

- A) 2%
- B) 3%
- C) 4%
- D) 5%

[General Mortgage — Mortgage Math]

39. A borrower has a gross monthly income of \$8,500 and monthly debt payments of \$400 (student loan, car). The proposed PITI is \$2,200. What is the borrower's back-end DTI ratio?

- A) 25.9%
- B) 31.3%
- C) 30.6%

D) None of the above

[General Mortgage — Mortgage Math]

40. A borrower takes a \$300,000 mortgage at 6% for 30 years. Using the standard amortization formula, the approximate monthly payment (P&I) is:

- A) \$1,499
- B) \$1,799
- C) \$1,938
- D) \$2,100

[General Mortgage — Property/Appraisal]

41. The Uniform Residential Appraisal Report (URAR) is also known as:

- A) Form 1073
- B) Form 1004
- C) Form 1025
- D) Form 2055

[General Mortgage — Property/Appraisal]

42. Which appraisal approach is MOST appropriate for valuing a single-family residential property in a neighborhood with many comparable recent sales?

- A) Cost approach
- B) Income approach
- C) Sales comparison approach
- D) Gross rent multiplier approach

[General Mortgage — FHA Loans]

43. FHA loans require owner-occupancy. Which of the following properties does FHA NOT finance?

- A) A 2-unit property where the borrower occupies one unit
- B) A 4-unit property where the borrower occupies one unit
- C) A single-family vacation home
- D) A single-family primary residence

[General Mortgage — VA Loans]

44. The VA loan program requires which of the following appraisal types?

- A) Automated Valuation Model (AVM)
- B) VA appraisal conducted by VA-approved appraiser with Certificate of Reasonable Value (CRV)
- C) Standard URAR with no special requirements
- D) Desk review only for refinances

[General Mortgage — Conventional/PMI]

45. Fannie Mae's standard debt-to-income ratio limit for most conventional loans is:

- A) 36%
- B) 41%
- C) 45%
- D) 50%

[General Mortgage — ARM Products]

46. What is the 'margin' on an adjustable-rate mortgage?

- A) The maximum amount the rate can change at any adjustment
- B) The spread added to the index to determine the fully indexed rate
- C) The difference between the start rate and the fully indexed rate

D) The lender's profit on the loan

[General Mortgage — Underwriting/QM]

47. A loan with an interest-only period of 10 years followed by a 20-year amortization would MOST LIKELY be classified as:

- A) A Qualified Mortgage under the general QM definition
- B) A non-QM loan due to the interest-only feature
- C) An FHA streamline refinance
- D) A HOEPA high-cost mortgage

[General Mortgage — Mortgage Math]

48. A seller is offering seller concessions of 4% on a \$250,000 purchase price. How much is the seller contributing?

- A) \$8,000
- B) \$10,000
- C) \$12,500
- D) \$15,000

[General Mortgage — Property/Appraisal]

49. In the income approach to appraisal, the capitalization rate (cap rate) is used to:

- A) Determine the maximum loan amount
- B) Convert net operating income into an estimate of value
- C) Calculate the gross rent multiplier
- D) Establish the replacement cost of improvements

[General Mortgage — FHA Loans]

50. FHA's annual mortgage insurance premium (MIP) for a 30-year loan with an LTV above 95% at origination:

- A) Is automatically cancelled when LTV reaches 80%
- B) Remains for the life of the loan
- C) Is cancelled after 11 years
- D) Is cancelled after 5 years of on-time payments

[General Mortgage — VA Loans]

51. A veteran with full VA entitlement purchases a home for \$500,000 with no down payment. The VA guarantee protects the lender against loss up to:

- A) 25% of the county loan limit
- B) 25% of the loan amount (with no upper limit for full entitlement post-2020)
- C) \$36,000 regardless of purchase price
- D) 50% of the loan amount

[General Mortgage — Conventional/PMI]

52. A conforming loan limit is set by:

- A) FHA on an annual basis
- B) The Federal Housing Finance Agency (FHFA) annually
- C) The Consumer Financial Protection Bureau (CFPB)
- D) Congress via annual appropriations

[General Mortgage — ARM Products]

53. A payment cap on an ARM limits the:

- A) Maximum interest rate the loan can reach
- B) Maximum dollar amount by which the monthly payment can increase
- C) Maximum number of adjustments over the loan term

D) Margin added to the index

[General Mortgage — Underwriting/QM]

54. Which of the following borrower characteristics would MOST LIKELY result in loan denial under the Ability-to-Repay rule?

- A) A credit score of 680
- B) A DTI ratio of 60% with no compensating factors
- C) Employment for 18 months in the same industry
- D) A 10% down payment on a conventional loan

[General Mortgage — Mortgage Math]

55. A borrower has a loan balance of \$180,000 at 5% annual interest. The interest portion of the first monthly payment is:

- A) \$625
- B) \$750
- C) \$900
- D) \$1,200

[General Mortgage — Property/Appraisal]

56. An appraisal that uses recent sales of comparable properties, making adjustments for differences in features, is applying the:

- A) Cost approach
- B) Gross rent multiplier method
- C) Sales comparison approach
- D) Income capitalization approach

■ ■ Loan Origination ■ ■

[Loan Origination — Application/1003]

57. On the Uniform Residential Loan Application (URLA/Form 1003), Section 4 requires the borrower to disclose:

- A) Employment history for the past 5 years
- B) Employment history for the past 2 years
- C) Credit card balances as of application date
- D) Names and contact information for all real estate agents

[Loan Origination — Application/1003]

58. When completing the 1003, the borrower is asked about declarations. Which of the following declarations questions relates to owner-occupancy?

- A) Will you occupy this property as your primary residence?
- B) Do you have any outstanding judgments?
- C) Are you a co-signer on another loan?
- D) Have you declared bankruptcy in the past 7 years?

[Loan Origination — Income/DTI]

59. When calculating qualifying income for a salaried W-2 borrower, the MLO should use:

- A) Gross annual salary divided by 12
- B) Net take-home pay after taxes and deductions
- C) Gross salary plus unreimbursed business expenses
- D) Previous year's tax return income only

[Loan Origination — Income/DTI]

60. A self-employed borrower shows net business income of \$80,000 on Schedule C. Depreciation of \$15,000 was deducted. What income is used for qualifying?

- A) \$65,000
- B) \$80,000
- C) \$95,000
- D) \$65,000 minus 50% of self-employment tax

[Loan Origination — Credit Analysis]

61. A borrower has a mortgage payment reported 30 days late twice and 60 days late once in the past 24 months. Under most conventional guidelines, this would be considered:

- A) No issue — all lates are within normal parameters
- B) A significant derogatory event requiring explanation and possible denial
- C) Acceptable with a written letter of explanation only
- D) Minor — only 120+ day lates affect qualifying

[Loan Origination — Credit Analysis]

62. The FICO score used for mortgage qualification is determined by:

- A) The average of all three bureau scores
- B) The middle score from three bureaus; lowest middle score for co-borrowers
- C) The highest score from all bureaus and all borrowers
- D) The lowest score from any bureau for any borrower

[Loan Origination — Disclosures]

63. Under Reg Z, which disclosure must be provided to the borrower within 3 business days of receiving a completed application?

- A) The Closing Disclosure
- B) The Loan Estimate
- C) The HUD-1 Settlement Statement
- D) The Good Faith Estimate

[Loan Origination — Disclosures]

64. The Initial Escrow Statement must be provided to the borrower no later than:

- A) 3 business days before closing
- B) At or before settlement (closing)
- C) 30 days after closing
- D) At the first mortgage payment due date

[Loan Origination — Products/Programs]

65. A borrower who wants to avoid mortgage insurance and can put 10% down might consider which loan structure?

- A) FHA loan with MIP waiver
- B) A conventional 80/10/10 piggyback loan structure
- C) A VA loan with 10% down
- D) A USDA Rural Housing loan

[Loan Origination — Products/Programs]

66. A USDA Rural Housing loan is available to borrowers in eligible rural areas and has which of the following features?

- A) Requires 5% down payment
- B) Offers 100% financing with no down payment
- C) Is only available to first-time homebuyers
- D) Requires a minimum credit score of 700

[Loan Origination — Processing/Closing]

67. At closing, the borrower signs the promissory note, which represents:

- A) The lender's right to foreclose on the property
- B) The borrower's personal promise to repay the loan
- C) The transfer of title from seller to buyer
- D) The escrow instructions for the title company

[Loan Origination — Processing/Closing]

68. Which document transfers title to real property from the seller to the buyer?

- A) Deed of Trust
- B) Promissory Note
- C) Warranty Deed
- D) Closing Disclosure

[Loan Origination — Income/DTI]

69. When calculating DTI, which of the following monthly obligations would NOT be included in the back-end ratio?

- A) Car loan payment
- B) Minimum credit card payment
- C) Child care expenses
- D) Student loan payment in repayment

[Loan Origination — Credit Analysis]

70. A collection account for \$800 on a borrower's credit report — under conventional guidelines, the MLO should typically:

- A) Require payoff before closing in all cases
- B) Follow investor guidelines; Fannie Mae generally does not require payoff of collections
- C) Ignore all collections under \$2,000
- D) Include 5% of the balance in the DTI calculation

[Loan Origination — Application/1003]

71. Under HMDA, an 'application' is defined as an oral or written request for a home purchase loan, home improvement loan, or refinancing that is made in accordance with procedures used by the financial institution for the type of credit requested. Which of the following is MOST LIKELY to be reportable under HMDA?

- A) A pre-qualification based on verbal information
- B) A pre-approval resulting in an approval letter issued to the borrower
- C) An inquiry about rates and terms with no application submitted
- D) A verbal request for information about loan programs

[Loan Origination — Disclosures]

72. The Loan Estimate's page 3 contains the 'Comparisons' section, which shows the borrower:

- A) The credit score used to approve the loan
- B) The APR, total interest percentage (TIP), and in 5 years principal paid and total payments
- C) The seller's net proceeds from the transaction

- D) The lender's cost of funds

[Loan Origination — Products/Programs]

73. A reverse mortgage (HECM) is available to borrowers who are:

- A) At least 55 years old and own their home free and clear
- B) At least 62 years old, own their home, and occupy it as their principal residence
- C) Any age if the home is free and clear
- D) At least 60 years old with at least 50% equity

[Loan Origination — Processing/Closing]

74. A subordination agreement is used when:

- A) The borrower has insufficient income to qualify
- B) A junior lien holder agrees to remain in a subordinate position behind a new first mortgage
- C) The seller carries back a note for the buyer
- D) Title is clouded by a prior lien

[Loan Origination — Income/DTI]

75. A commission-based borrower must typically show commission income for at least how many years to use it for qualifying?

- A) 6 months
- B) 1 year
- C) 2 years
- D) 3 years

[Loan Origination — Credit Analysis]

76. A borrower filed Chapter 7 bankruptcy that was discharged 3 years ago. They are applying for a conventional loan. Under Fannie Mae guidelines, this borrower:

- A) Is eligible if 4 years have passed since discharge with re-established credit
- B) Is eligible immediately after discharge with 20% down
- C) Is permanently ineligible for conventional financing
- D) Must wait 7 years from the discharge date

[Loan Origination — Application/1003]

77. The Equal Credit Opportunity Act requires lenders to collect applicant demographic information (race, sex, ethnicity) on home purchase loans. If the borrower refuses to provide this information, the MLO should:

- A) Deny the application due to incomplete information
- B) Note the refusal and use visual observation and surname if the application is taken face-to-face
- C) Leave the field blank and submit the application
- D) Require the borrower to complete the form

[Loan Origination — Disclosures]

78. The Special Information Booklet (Your Home Loan Toolkit) must be provided to the borrower:

- A) At or before the time the Loan Estimate is provided
- B) At loan closing
- C) Within 3 business days of loan approval
- D) Only for FHA and VA loans

[Loan Origination — Products/Programs]

79. A construction-to-permanent loan combines which two loan phases?

- A) Pre-approval and processing
- B) Construction financing and permanent mortgage into one closing
- C) Interim and bridge financing
- D) First and second mortgage into one payment

[Loan Origination — Processing/Closing]

80. Title insurance protects against which of the following risks?

- A) Physical damage to the property from a fire
- B) Decline in property value after purchase
- C) Defects in title that existed prior to the policy date
- D) Future encumbrances placed after closing

[Loan Origination — Income/DTI]

81. Rental income from a property the borrower owns may be used for qualifying when:

- A) The borrower has owned the property for any length of time
- B) The borrower has a 2-year history of receiving rental income documented on tax returns, or is purchasing a multi-unit property with lease agreements
- C) The borrower verbally confirms they receive rent
- D) Only when the rental income exceeds the PITI of the rental property

[Loan Origination — Credit Analysis]

82. A 'rapid rescore' service can be used by an MLO to:

- A) Permanently delete negative items from a credit report
- B) Quickly update credit bureau information to reflect recent account changes, potentially improving the score before closing
- C) Transfer the borrower's credit history to a new SSN
- D) Create a new credit file for a borrower with no credit

[Loan Origination — Application/1003]

83. When multiple borrowers apply together, the NMLS Unique Identifier that must appear on the loan application belongs to:

- A) All borrowers on the application
- B) The primary borrower only
- C) The Mortgage Loan Originator who takes the application
- D) The processing company that submits the loan

[Loan Origination — Disclosures]

84. Which of the following fees may NOT increase from the Loan Estimate to the Closing Disclosure without a valid changed circumstance?

- A) Homeowner's insurance (lender-required)
- B) Transfer taxes
- C) Lender origination charges
- D) Appraisal fee when borrower selects their own appraiser

[Loan Origination — Products/Programs]

85. An interest-only mortgage during the interest-only period will result in:

- A) Lower monthly payments with no change in principal balance
- B) A decrease in the loan balance each month equal to the interest payment
- C) Negative amortization in all cases
- D) Automatic conversion to a fixed-rate product

[Loan Origination — Processing/Closing]

86. At loan closing, 'proration' refers to:

- A) The lender's calculation of monthly PMI
- B) The division of ongoing property costs (taxes, interest, HOA) between buyer and seller based on the closing date
- C) The title company's fee for conducting the closing
- D) The calculation of the borrower's escrow impound account

■ ■ Ethics ■ ■

[Ethics — UDAAP Unfair]

87. Under the CFPB's UDAAP authority, an act is 'UNFAIR' when ALL THREE of the following elements are present. Which option CORRECTLY states all three required elements?

- A) The act is intentional, causes actual harm, and the MLO profits from it
- B) The act causes or is likely to cause substantial injury to consumers; the injury is not reasonably avoidable; and the injury is not outweighed by countervailing benefits to consumers or competition
- C) The act is deceptive, material, and likely to mislead a reasonable consumer
- D) The act takes unreasonable advantage of a consumer's lack of understanding, inability to protect their interests, or reasonable reliance

[Ethics — UDAAP Deceptive]

88. A mortgage advertisement states 'No closing costs ever!' when in fact closing costs are rolled into the loan balance and financed. To prove this is DECEPTIVE under UDAAP, a regulator must establish all of the following EXCEPT:

- A) The representation is misleading or likely to mislead
- B) A reasonable consumer would be misled by the statement
- C) The misleading representation is material to the consumer's decision
- D) The lender intended to deceive the borrower

[Ethics — UDAAP Abusive]

89. An MLO explains a complex ARM product to a borrower with limited English proficiency using only English-language documents and a 45-minute rushed presentation. The borrower signs without understanding. The CFPB would MOST LIKELY characterize this as:

- A) UNFAIR — because the borrower suffered substantial injury
- B) DECEPTIVE — because the MLO made misleading statements
- C) ABUSIVE — because the MLO materially interfered with the borrower's ability to understand the terms
- D) No violation — the borrower signed the documents

[Ethics — UDAAP Abusive]

90. Which of the following scenarios BEST illustrates the 'unreasonable advantage of reasonable reliance' prong of ABUSIVE?

- A) A lender charges excessive fees after disclosing them in fine print
- B) An MLO recommends a high-cost product to a vulnerable borrower who trusts and relies on the MLO's advice as their fiduciary, and the MLO benefits from a higher commission
- C) A lender refuses to provide documents in Spanish
- D) A lender advertises one rate and charges a higher rate

[Ethics — Fraud for Profit]

91. An 'air loan' scheme is MOST ACCURATELY defined as:

- A) A loan where the appraised value exceeds the actual market value
- B) A scheme involving a fictitious property, fictitious borrower, and all fabricated documentation — no real transaction exists
- C) A loan used to purchase vacant land with no improvements

D) A predatory loan with excessively high fees and an inflated interest rate

[Ethics — Fraud for Profit]

92. In mortgage fraud statistics, what percentage of mortgage fraud dollar losses is attributable to 'fraud for profit' by industry insiders?

- A) Approximately 20%
- B) Approximately 50%
- C) Approximately 80%
- D) Approximately 95%

[Ethics — Fraud for Housing]

93. A borrower states on the loan application that the property will be their primary residence when they actually plan to use it as a rental investment property. This is an example of:

- A) Appraisal fraud
- B) Occupancy fraud — the most common form of fraud for housing
- C) Straw buyer fraud
- D) Equity skimming

[Ethics — Predatory Lending]

94. 'Loan flipping' in the context of predatory lending refers to:

- A) Purchasing a home, renovating it quickly, and reselling at a profit
- B) Repeatedly refinancing a borrower's loan, each time stripping equity through fees, without providing a net benefit to the borrower
- C) Transferring a mortgage to a new lender at a higher interest rate
- D) The practice of appraisers inflating values to support loan amounts

[Ethics — Predatory Lending]

95. 'Equity stripping' as a predatory lending practice occurs when:

- A) A lender takes a second mortgage to secure unpaid fees
- B) A lender extends credit based on home equity without regard to the borrower's ability to repay, depleting the borrower's equity through fees and high costs
- C) A title company charges excessive settlement fees
- D) An appraiser understates value to reduce property taxes

[Ethics — Professional Conduct]

96. An MLO is compensated differently based on the loan product placed, receiving higher compensation for higher-rate products. Under what conditions does this violate Reg Z's loan originator compensation rules?

- A) Always — all variable compensation is prohibited
- B) When the higher compensation is tied to the terms of the loan (rate, APR, prepayment penalty) rather than loan type or other permissible factors
- C) Only when the borrower is a protected class member
- D) When the MLO fails to disclose the compensation difference to the borrower

[Ethics — BSA/AML]

97. A borrower brings \$15,000 in cash to pay a loan application fee. Under BSA rules, the lender must:

- A) Refuse the cash payment
- B) File a Currency Transaction Report (CTR) within 15 business days
- C) File a Currency Transaction Report (CTR) because the cash transaction exceeds \$10,000
- D) File a Suspicious Activity Report (SAR) only if the cash appears to be from illegal sources

[Ethics — BSA/AML]

98. An MLO discovers that a borrower appears to be structuring cash deposits to avoid the \$10,000 CTR threshold (depositing \$9,500 multiple times). The MLO should:

- A) Ask the borrower directly whether they are structuring deposits
- B) File a Suspicious Activity Report (SAR) within 30 days and NOT inform the borrower that a SAR is being filed
- C) Ignore the activity since no single deposit exceeds \$10,000
- D) Refuse to originate the loan and report the structuring to local police

[Ethics — UDAAP Unfair]

99. A lender enrolls all borrowers in an optional credit insurance product by default, requiring them to opt out rather than opt in. The monthly premium adds \$80 to the payment. Borrowers who don't notice the opt-out provision pay for years. This is MOST LIKELY:

- A) A permissible default enrollment if disclosed in closing documents
- B) UNFAIR — because consumers cannot reasonably avoid the injury caused by the default enrollment combined with the obscured opt-out
- C) DECEPTIVE — because the product is misrepresented as free
- D) ABUSIVE — because the product has no value

[Ethics — Fraud for Profit]

100. In a property flipping fraud scheme, a property is sold multiple times in a short period at rapidly inflating prices using fraudulent appraisals. Which participant is MOST CRITICAL to the scheme?

- A) The final buyer who moves into the property
- B) The corrupt appraiser who creates inflated appraisal reports
- C) The title company conducting the final closing
- D) The real estate agent representing the seller

[Ethics — UDAAP Deceptive]

101. An MLO tells a borrower 'this loan has no prepayment penalty' during the sales presentation. The loan documents include a 3-year prepayment penalty in fine print on page 47. Under UDAAP Deceptive, this verbal statement:

- A) Is not a violation because the written documents control
- B) Is a violation because the oral representation was misleading, a reasonable consumer would rely on it, and it is material to the loan decision
- C) Is only a violation if the borrower paid the penalty
- D) Is not a violation because the MLO may not have known about the penalty

[Ethics — Professional Conduct]

102. An MLO has a financial interest in a title company that the MLO regularly recommends to borrowers. The MINIMUM required action is:

- A) Disclose the affiliated business arrangement in writing and give borrowers the freedom to choose another provider
- B) Stop referring business to the title company immediately
- C) Have the borrower sign a conflict-of-interest waiver
- D) No action required — referrals to affiliates are always permissible

[Ethics — UDAAP Abusive]

103. The ABUSIVE prong of UDAAP is distinct from UNFAIR and DECEPTIVE because:

- A) It requires intentional conduct by the covered person
- B) It can be established by showing EITHER material interference with understanding OR unreasonable exploitation of a consumer's vulnerability — not all elements of UNFAIR or DECEPTIVE
- C) It applies only to fees, not to representations
- D) It requires showing actual monetary harm to consumers

[Ethics — Predatory Lending]

104. Single-premium credit insurance packaged into a mortgage loan is considered predatory because:

- A) Insurance is never appropriate for mortgage borrowers
- B) The full premium is financed into the loan (increasing the balance and interest cost) and the borrower receives limited benefit relative to the substantial upfront cost
- C) It is prohibited by TILA in all cases
- D) The insurance only benefits the lender, not the borrower

[Ethics — Fraud for Housing]

105. A borrower receives a 'gift' from their real estate agent equal to the required down payment, but the gift is documented as coming from a family member. This arrangement constitutes:

- A) A permissible seller concession
- B) Gift fraud — a form of fraud for housing that misrepresents the true source of funds and conceals an undisclosed agreement between parties
- C) A permissible realtor contribution
- D) A kickback under RESPA Section 8 only

■ ■ SAFE Act ■ ■

[SAFE Act — Pre-License Education]

106. The SAFE Act requires state-licensed MLOs to complete how many total hours of pre-licensing education before obtaining their initial license?

- A) 8 hours
- B) 15 hours
- C) 20 hours
- D) 40 hours

[SAFE Act — Continuing Education]

107. Annual continuing education for state-licensed MLOs must include which of the following specific components?

- A) 4 hours federal law, 2 hours ethics, 2 hours nontraditional products
- B) 3 hours federal law, 2 hours ethics, 2 hours nontraditional mortgage products, 1 hour elective
- C) 5 hours federal law, 3 hours ethics
- D) 8 hours on any NMLS-approved topics

[SAFE Act — Continuing Education]

108. An MLO completed an NMLS-approved CE course called 'Federal Mortgage Law Update 2024' in 2024. In 2025, the same MLO wants to take the same course to satisfy CE. This is:

- A) Permissible because it's an approved NMLS course
- B) Prohibited — an MLO cannot satisfy annual CE by taking the same NMLS-approved course in consecutive calendar years
- C) Permissible only if the course content was updated
- D) Prohibited only for ethics courses

[SAFE Act — Licensing Requirements]

109. Under the SAFE Act, an individual must obtain a state MLO license (or register through NMLS as a registered MLO) if they:

- A) Only perform loan processing with no consumer contact
- B) Take residential mortgage loan applications or offer or negotiate terms of residential mortgage loans for compensation or gain
- C) Work as a real estate agent and discuss financing options generally
- D) Manage a team of MLOs but do not personally originate loans

[SAFE Act — NMLS Registration]

110. The NMLS Unique Identifier is:

- A) Assigned per employer and changes when the MLO changes jobs
- B) A temporary number valid for 3 years before renewal
- C) Permanent — assigned once and follows the MLO through all employers and states for their career
- D) Only required for MLOs in federal banking institutions

[SAFE Act — Transitional License]

111. The transitional license provision under EGRRCPA Section 106 allows an MLO to originate loans in a new state for up to:

- A) 30 days
- B) 60 days
- C) 90 days
- D) 120 days

[SAFE Act — License Bars]

112. A conviction for which of the following crimes results in a PERMANENT bar from obtaining an MLO license, with NO exceptions?

- A) Any misdemeanor involving financial matters
- B) Any felony within the past 7 years
- C) Any felony involving fraud, dishonesty, breach of trust, or money laundering
- D) Any criminal conviction regardless of type

[SAFE Act — State Law]

113. A state enacts a mortgage licensing law that requires MLOs to complete 25 hours of pre-licensing education instead of the federal SAFE Act minimum of 20 hours. This state law is:

- A) Preempted by federal law and cannot be enforced
- B) Permissible — states may impose requirements STRICTER than the federal SAFE Act minimum
- C) Invalid because it contradicts federal law
- D) Permissible only if the additional 5 hours cover federal topics

[SAFE Act — NMLS Registration]

114. NMLS Consumer Access, the public-facing NMLS database, allows consumers to view all of the following EXCEPT:

- A) An MLO's current license status
- B) An MLO's employment history
- C) An MLO's exam scores and credit report
- D) Regulatory actions and disciplinary history

[SAFE Act — Licensing Requirements]

115. Which of the following individuals is exempt from state MLO licensing requirements under the SAFE Act?

- A) An MLO at an independent mortgage company
- B) An MLO who only originates loans part-time
- C) An employee of a federally chartered bank who originates residential mortgage loans
- D) A self-employed broker who originates fewer than 5 loans per year

[SAFE Act — Pre-License Education]

116. Which of the following topics must be covered in the 3-hour ethics component of pre-licensing education?

- A) Appraisal methods and property valuation
- B) Fraud, consumer protection, and fair lending issues
- C) Federal reserve monetary policy

D) Investment property analysis

[SAFE Act — Transitional License]

117. A state-licensed MLO in Texas accepts a job with a lender licensed in California. The MLO has not yet obtained a California state license. Under the transitional license provision, the MLO may:

- A) Immediately originate loans in California indefinitely
- B) Originate loans in California for up to 120 days while their California license application is pending, provided they meet notice and other requirements
- C) Not originate any loans in California until the license is issued
- D) Originate loans in California only if supervised by a California-licensed MLO

[SAFE Act — License Bars]

118. An MLO applicant was convicted of felony assault (not involving any financial crime) 5 years ago. Under the SAFE Act, this:

- A) Permanently bars the applicant from obtaining an MLO license
- B) Results in a 7-year bar — the applicant may apply after 7 years from the conviction date
- C) Is not a bar to licensing — only financial crimes trigger bars
- D) Results in a 10-year bar for any felony

[SAFE Act — Continuing Education]

119. An MLO's license lapses because they fail to complete CE and renew by December 31. During the lapse period, the MLO may:

- A) Continue originating loans for up to 30 days while completing CE
- B) Continue originating with supervisor approval
- C) Originate no loans — zero origination activity is permitted during any license lapse
- D) Transfer to a registered (bank) MLO status temporarily

[SAFE Act — Licensing Requirements]

120. The SAFE Act's definition of 'residential mortgage loan' covers loans secured by a dwelling that is:

- A) Any commercial or residential property
- B) A 1-to-4 family dwelling (including condominiums, cooperatives, and manufactured homes on permanent foundations)
- C) Only a single-family detached home
- D) Only owner-occupied primary residences

EXAM Phase 3 — Exam 1 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	B	2	A	3	D	4	C	5	B
6	A	7	D	8	C	9	B	10	A
11	D	12	C	13	B	14	A	15	D
16	C	17	B	18	A	19	D	20	C
21	B	22	A	23	D	24	C	25	B
26	A	27	D	28	C	29	B	30	A
31	D	32	C	33	B	34	A	35	D
36	C	37	B	38	A	39	D	40	C
41	B	42	A	43	D	44	C	45	B
46	A	47	D	48	C	49	B	50	A
51	D	52	C	53	B	54	A	55	D
56	C	57	B	58	A	59	D	60	C
61	B	62	A	63	D	64	C	65	B
66	A	67	D	68	C	69	B	70	A
71	D	72	C	73	B	74	A	75	D
76	C	77	B	78	A	79	D	80	C
81	B	82	A	83	D	84	C	85	B
86	A	87	D	88	C	89	B	90	A
91	D	92	C	93	B	94	A	95	D
96	C	97	B	98	A	99	D	100	C
101	B	102	A	103	D	104	C	105	B
106	A	107	D	108	C	109	B	110	A
111	D	112	C	113	B	114	A	115	D
116	C	117	B	118	A	119	D	120	C

1. Under the TRID rule, which disclosure replaces the former Good Faith Estimate and Truth-in-Lending disclosure?**✓ B) Loan Estimate**

The Loan Estimate replaced both the GFE and the early TIL disclosure. The Closing Disclosure replaced the HUD-1 and final TIL.

2. A creditor issues a Loan Estimate on Monday. The borrower must receive it no later than:**✓ A) 3 business days after application**

The LE must be delivered no later than 3 business days after receiving a completed application. The 7-business-day waiting period before consummation is separate.

3. Which of the following is NOT one of the six pieces of information that trigger TRID's application definition?**✓ D) Desired loan amount**

The six TRID triggers are: name, income, SSN, property address, estimated property value, and mortgage loan amount sought. Credit score is NOT one of the six.

4. The Closing Disclosure must be received by the consumer at least how many business days before loan consummation?

✓ C) 5 business days

The CD must be received at least 3 business days before consummation. If re-issued due to a major change (APR increases >1/8%, product change, prepayment penalty added), the 3-day period restarts.

5. RESPA Section 8 prohibits kickbacks in connection with federally related mortgage loans. Which of the following BEST describes a kickback under Section 8?

✓ B) A payment for services actually performed

Section 8(a) prohibits giving or receiving any thing of value for a referral of settlement service business. There is no 'fair price' defense — the act of paying for referrals is the violation.

6. Under RESPA, a lender may require a borrower to use a particular settlement service provider ONLY if:

✓ A) The borrower consents in writing

RESPA allows lenders to require use of a specific provider only when the lender pays for the service. Requiring a borrower to use a specific title company without paying for it violates RESPA.

7. Which of the following transactions is exempt from RESPA coverage?

✓ D) A conventional loan on a 4-unit rental property

RESPA exempts loans for property of 25 acres or more, business purpose loans, and temporary financing. A 25-acre farm purchase is explicitly exempt.

8. Regulation Z requires that the Annual Percentage Rate (APR) be disclosed to the borrower. The APR MOST ACCURATELY represents:

✓ C) The total amount of interest paid over the loan term

APR is the cost of credit as a yearly rate — it includes the note rate plus certain fees (points, origination fees, PMI if mandatory), giving a true cost comparison tool. It differs from the note rate.

9. Under TILA's right of rescission for refinances of a principal dwelling, the borrower has the right to cancel the transaction for how long?

✓ B) 3 business days after the latest of signing, receiving the TIL, or receiving the rescission notice

TILA's 3-day right of rescission (for non-purchase refinances of a principal dwelling) runs from the latest of: consummation, delivery of the rescission notice, or delivery of all material disclosures.

10. Which of the following loans is NOT subject to TILA's right of rescission?

✓ A) A cash-out refinance on a primary residence

The right of rescission does NOT apply to purchase money mortgages or construction loans. It applies to refinances, HELOCs, and second mortgages on a principal dwelling.

11. Regulation B requires that a lender notify an applicant of a credit decision within how many days of completing a loan application?

✓ D) 60 days

ECOA/Reg B requires notification of action taken (approval, denial, or counteroffer) within 30 days of receiving a completed application.

12. Under ECOA, which of the following bases for denying credit is permissible?

✓ C) The applicant's credit history shows multiple late payments

ECOA prohibits discrimination based on age (except minors), receipt of public assistance, marital status, sex, race, color, religion, national origin. Denying credit for poor credit history is a permissible creditworthiness reason.

13. A lender requires a married female applicant to have her husband co-sign a loan even though she qualifies on her own income. This MOST LIKELY violates:

✓ B) ECOA's prohibition on marital status discrimination

Requiring a co-signer based on marital status — when the borrower individually qualifies — is discrimination based on marital status, prohibited by ECOA/Reg B.

14. The Fair Housing Act prohibits discrimination in residential real estate transactions based on all of the following EXCEPT:

✓ A) Race

The original Fair Housing Act covers race, color, religion, national origin, sex, familial status, and disability. Sexual orientation was not explicitly listed in the original act (though HUD has extended protections via executive action). Religion is covered.

15. A real estate agent steers African American buyers away from listings in predominantly white neighborhoods. This practice is known as:

✓ **D) Flipping**

Steering is the practice of directing buyers or renters toward or away from neighborhoods based on protected class characteristics. Redlining is refusing to lend in certain areas; blockbusting is inducing panic selling.

16. Under HOEPA, a high-cost mortgage is triggered when the APR exceeds the Average Prime Offer Rate (APOR) by more than:

✓ **C) 3 percentage points for subordinate-lien loans**

HOEPA's APR trigger: 6.5% above APOR for first-lien loans (most transactions), 8.5% for personal property first liens, and 8.5% for subordinate-lien loans. Option B is correct for most first-lien transactions.

17. Which of the following is PROHIBITED for high-cost mortgages under HOEPA?

✓ **B) Prepayment penalties after the first year**

HOEPA prohibits balloon payments on high-cost mortgages with terms of less than 10 years (with limited exceptions), prepayment penalties after the first year, negative amortization, and certain upfront fees.

18. Under HMDA, which institutions are required to collect and report mortgage loan data?

✓ **A) All mortgage lenders regardless of asset size**

HMDA (Reg C) applies to covered institutions — banks, thrifts, credit unions, and mortgage companies that meet asset-size thresholds AND loan-volume thresholds AND operate in an MSA. Not all lenders are covered.

19. The primary purpose of HMDA data collection is to:

✓ **D) Establish required reserves for mortgage servicers**

HMDA was enacted to provide data to help identify discriminatory lending patterns, assist government agencies in distributing investment, and help public officials respond to credit needs. It's a fair lending tool.

20. A valid changed circumstance under TRID allows the lender to re-issue a Loan Estimate with revised fees. Which of the following is a valid changed circumstance?

✓ **C) The borrower requests a longer rate lock after the LE was issued**

A valid changed circumstance includes extraordinary events, information not relied upon at time of LE, or borrower-requested changes (like locking the rate). Lender errors and increased overhead are NOT valid changed circumstances.

21. An affiliated business arrangement (AfBA) under RESPA requires all of the following EXCEPT:

✓ **B) Disclosure of the estimated charges**

RESPA AfBA requirements: written disclosure, estimate of charges, and freedom to use other providers. There is NO requirement that affiliated providers offer the lowest or competitive fees.

22. Which of the following fees is EXCLUDED from the finance charge calculation under TILA?

✓ **A) Loan origination fees**

Hazard insurance premiums paid to an insurer of the borrower's choice are excluded from the finance charge. Origination fees, discount points, and required PMI are included in the finance charge.

23. Under Regulation B, a lender must retain records of credit applications for at least:

✓ **D) 60 months**

ECOA/Reg B requires creditors to retain records of credit applications and related actions for 25 months from the date of the notification to the applicant (12 months for business credit).

24. Which of the following advertising practices violates the Fair Housing Act?

✓ **C) Describing square footage and bedroom count**

'Ideal for couples' implies preference based on familial status (discriminating against families with children). The Fair Housing Act prohibits discriminatory advertising indicating preference, limitation, or discrimination.

25. The points-and-fees trigger for a high-cost mortgage applies when total points and fees exceed:

✓ **B) 3% of the total loan amount for loans $\geq$ \$20,000**

HOEPA's points-and-fees trigger: for loans $\geq$ \$20,000, total points and fees exceed 5% of total loan amount; for loans $<$ \$20,000, the trigger is the lesser of 8% or \$1,000.

26. Under HMDA, an MLO must report a loan application as 'withdrawn' when:

✓ A) The lender denies the application before the borrower submits all documents

HMDA requires reporting 'withdrawn' when the applicant withdraws before a credit decision is made. Denial is reported when the lender takes adverse action. Non-response to incompleteness would be 'application withdrawn' or 'incomplete.'

27. Under TRID, which of the following triggers a mandatory re-disclosure of the Closing Disclosure with a new 3-business-day waiting period?

✓ D) A change in the title insurance premium

Three changes trigger a new 3-day waiting period for the CD: (1) APR increases by more than 1/8% (or 1/4% for irregular loans), (2) loan product changes, (3) prepayment penalty is added. Settlement agent changes do not.

28. A mortgage broker receives a marketing service agreement (MSA) payment from a title company. Under RESPA Section 8, this payment is:

✓ C) Permissible only if disclosed to the borrower

MSAs are scrutinized under RESPA Section 8. They are permissible ONLY if genuine marketing services are actually performed AND fair market value is paid. Payments that exceed FMV or compensate for referrals are violations.

29. The maximum FHA loan-to-value ratio for a purchase transaction where the borrower's credit score is 580 or higher is:

✓ B) 95%

FHA allows up to 96.5% LTV (3.5% down payment) when the borrower's credit score is 580 or higher. For scores 500–579, maximum LTV is 90%. Below 500, FHA financing is not available.

30. FHA's Upfront Mortgage Insurance Premium (UFMIP) is currently set at:

✓ A) 0.55% of the loan amount

FHA charges an Upfront MIP of 1.75% of the base loan amount at closing (or financed into the loan). Annual MIP varies based on LTV, term, and loan amount.

31. Which of the following is TRUE regarding VA loan funding fees?

✓ D) Funding fees cannot be financed into the loan

Veterans receiving VA disability compensation are exempt from the VA funding fee. The fee varies by loan type, down payment amount, and whether it's first or subsequent use.

32. The VA loan entitlement concept means that:

✓ C) All VA loans are capped at the conforming loan limit

VA entitlement is the dollar amount the VA guarantees to the lender against loss on a VA loan. Full entitlement (post-2020) allows eligible veterans to purchase without a down payment regardless of loan amount.

33. Private Mortgage Insurance (PMI) is required on conventional loans when the LTV exceeds:

✓ B) 80%

PMI is required when the LTV exceeds 80% (less than 20% down payment) on conventional loans. The Homeowners Protection Act requires automatic PMI cancellation when LTV reaches 78% based on original amortization schedule.

34. Under the Homeowners Protection Act, a borrower may REQUEST cancellation of PMI when:

✓ A) The loan balance reaches 80% of the ORIGINAL property value based on payments

Borrowers may REQUEST PMI cancellation when balance reaches 80% of original value (with good payment history). Automatic cancellation occurs at 78% based on original amortization. Lender may require appraisal for early cancellation based on appreciation.

35. For an adjustable-rate mortgage, which index is most commonly associated with conventional ARM products?

✓ D) Federal Funds Rate

Modern ARM products commonly use SOFR (Secured Overnight Financing Rate) after LIBOR was phased out. CMT is also used. Prime rate is used for HELOCs. The Fed Funds Rate is not a common ARM index.

36. A 5/1 ARM has an initial rate cap of 2%, a periodic cap of 2%, and a lifetime cap of 5%. If the initial rate is 4%, what is the maximum rate possible at the first adjustment?

✓ C) 5%

At the first adjustment, the initial cap limits the change to 2%. Starting rate of 4% + 2% initial cap = 6% maximum at first adjustment. The lifetime cap of 5% would limit the overall maximum to 9%, but the first adjustment is limited by the initial cap.

37. Under the Ability-to-Repay (ATR) rule, which loan category provides a legal safe harbor presumption that the ATR requirement has been met?

✓ B) Qualified Mortgage (QM) loans

Qualified Mortgages (QM) provide either a safe harbor (conclusive presumption) or rebuttable presumption that the lender complied with ATR. Non-QM loans do not have this protection. Higher-priced QMs get rebuttable presumption; others get safe harbor.

38. The general Qualified Mortgage rule limits points and fees to no more than what percentage of the total loan amount for loans $\geq \$100,000$?

✓ A) 2%

A General QM requires points and fees not to exceed 3% of the total loan amount for loans $\geq \$100,000$. Higher percentages apply for smaller loan amounts.

39. A borrower has a gross monthly income of \$8,500 and monthly debt payments of \$400 (student loan, car). The proposed PITI is \$2,200. What is the borrower's back-end DTI ratio?

✓ D) None of the above

Back-end DTI = (total monthly debt + proposed PITI) / gross monthly income = $(\$400 + \$2,200) / \$8,500 = \$2,600 / \$8,500 = 30.6\%$.
Front-end (housing) DTI = $\$2,200 / \$8,500 = 25.9\%$.

40. A borrower takes a \$300,000 mortgage at 6% for 30 years. Using the standard amortization formula, the approximate monthly payment (P&I) is:

✓ C) \$1,938

Using the mortgage payment formula: $M = P[r(1+r)^n] / [(1+r)^n - 1]$ where $P = \$300,000$, $r = 0.5\%/\text{month}$, $n = 360$. This yields approximately \$1,799 per month for a 30-year \$300,000 loan at 6%.

41. The Uniform Residential Appraisal Report (URAR) is also known as:

✓ B) Form 1004

The URAR (Uniform Residential Appraisal Report) is Fannie Mae Form 1004 / Freddie Mac Form 70. Form 1073 is for condos; 1025 is for 2-4 family properties; 2055 is for exterior-only inspections.

42. Which appraisal approach is MOST appropriate for valuing a single-family residential property in a neighborhood with many comparable recent sales?

✓ A) Cost approach

The sales comparison approach (market data approach) is most appropriate for residential properties when comparable sales data is available. Cost approach is used for new/unique properties; income approach for investment properties.

43. FHA loans require owner-occupancy. Which of the following properties does FHA NOT finance?

✓ D) A single-family primary residence

FHA requires owner-occupancy of the subject property. FHA does NOT finance vacation homes, second homes, or pure investment properties. FHA does finance 1-4 unit properties as long as the borrower occupies one unit.

44. The VA loan program requires which of the following appraisal types?

✓ C) Standard URAR with no special requirements

VA loans require an appraisal by a VA-approved fee appraiser. The appraiser issues a Notice of Value (NOV), formerly called a Certificate of Reasonable Value. VA appraisers check minimum property requirements (MPRs).

45. Fannie Mae's standard debt-to-income ratio limit for most conventional loans is:

✓ B) 41%

Fannie Mae's standard maximum DTI for conventional loans is 45% (or up to 50% with compensating factors and DU approval). FHA allows up to 57% with strong compensating factors. VA has no maximum DTI but uses residual income.

46. What is the 'margin' on an adjustable-rate mortgage?

✓ A) The maximum amount the rate can change at any adjustment

The margin is the fixed spread (set at origination) that is added to the index to calculate the fully-indexed rate. For example, if the index is 2% and the margin is 2.75%, the fully-indexed rate is 4.75%.

47. A loan with an interest-only period of 10 years followed by a 20-year amortization would MOST LIKELY be classified as:

✓ D) A HOEPA high-cost mortgage

Under the General QM rule, interest-only features disqualify a loan from QM status. Interest-only loans are non-QM unless they qualify under another QM category (such as Small Creditor QM with different requirements).

48. A seller is offering seller concessions of 4% on a \$250,000 purchase price. How much is the seller contributing?

✓ C) \$12,500

Seller concessions = $4\% \times \$250,000 = \$10,000$. These concessions can be used toward closing costs, prepaid items, and discount points, subject to program limits (FHA: 6%, VA: 4%, Conventional: varies by LTV).

49. In the income approach to appraisal, the capitalization rate (cap rate) is used to:

✓ B) Convert net operating income into an estimate of value

The income approach uses: $\text{Value} = \text{NOI} / \text{Cap Rate}$. The cap rate converts the property's income stream into a value estimate. This approach is primary for income-producing properties (apartments, commercial).

50. FHA's annual mortgage insurance premium (MIP) for a 30-year loan with an LTV above 95% at origination:

✓ A) Is automatically cancelled when LTV reaches 80%

For FHA loans originated after June 3, 2013, with LTV >90% at origination, annual MIP remains for the life of the loan. For LTV ≤90%, MIP cancels after 11 years. This changed from pre-2013 rules.

51. A veteran with full VA entitlement purchases a home for \$500,000 with no down payment. The VA guarantee protects the lender against loss up to:

✓ D) 50% of the loan amount

For veterans with full entitlement (post-2020), the VA guarantees 25% of the loan amount with no cap, allowing lenders to offer no-down-payment financing regardless of purchase price. Prior to 2020, entitlement was tied to county loan limits.

52. A conforming loan limit is set by:

✓ C) The Consumer Financial Protection Bureau (CFPB)

The FHFA sets conforming loan limits annually for Fannie Mae and Freddie Mac. These limits vary by geographic area. Loans exceeding these limits are 'jumbo' loans not eligible for conventional agency purchase.

53. A payment cap on an ARM limits the:

✓ B) Maximum dollar amount by which the monthly payment can increase

A payment cap limits how much the monthly payment can increase at each adjustment. Payment caps can cause negative amortization if the capped payment doesn't cover the interest accruing at the new rate.

54. Which of the following borrower characteristics would MOST LIKELY result in loan denial under the Ability-to-Repay rule?

✓ A) A credit score of 680

ATR requires lenders to assess the borrower's ability to repay. A 60% DTI with no compensating factors indicates the borrower may not be able to afford the loan, creating ATR risk. This is the clearest ATR concern among the options.

55. A borrower has a loan balance of \$180,000 at 5% annual interest. The interest portion of the first monthly payment is:

✓ D) \$1,200

Monthly interest = $\$180,000 \times 5\% / 12 = \$180,000 \times 0.004167 = \750 . This is the interest portion of the first payment. The rest of the payment goes to principal.

56. An appraisal that uses recent sales of comparable properties, making adjustments for differences in features, is applying the:

✓ C) Sales comparison approach

The sales comparison approach compares the subject to recently sold comparable properties and makes dollar adjustments for differences (size, features, condition, location). It is the primary approach for residential property appraisal.

57. On the Uniform Residential Loan Application (URLA/Form 1003), Section 4 requires the borrower to disclose:

✓ B) Employment history for the past 2 years

The 1003 requires 2 years of employment history (and residence history). This helps establish stability of income and ability to repay. Five years is not required on the standard 1003.

58. When completing the 1003, the borrower is asked about declarations. Which of the following declarations questions relates to owner-occupancy?

✓ A) Will you occupy this property as your primary residence?

The declarations section of the 1003 includes questions about occupancy intent, outstanding judgments, co-signed loans, bankruptcy, and other material facts. The occupancy question directly addresses owner-occupancy and fraud risk.

59. When calculating qualifying income for a salaried W-2 borrower, the MLO should use:

✓ D) Previous year's tax return income only

For salaried W-2 borrowers, qualifying income is typically gross monthly income (annual salary ÷ 12). Net pay after taxes is not used. Unreimbursed business expenses (from Schedule A/2106) reduce qualifying income for self-employed or commissioned borrowers.

60. A self-employed borrower shows net business income of \$80,000 on Schedule C. Depreciation of \$15,000 was deducted. What income is used for qualifying?

✓ C) \$95,000

For self-employed borrowers, depreciation is added back because it's a non-cash deduction. Qualifying income = \$80,000 + \$15,000 = \$95,000 (before other adjustments). This add-back reflects actual cash available for debt repayment.

61. A borrower has a mortgage payment reported 30 days late twice and 60 days late once in the past 24 months. Under most conventional guidelines, this would be considered:

✓ B) A significant derogatory event requiring explanation and possible denial

Conventional (Fannie/Freddie) guidelines are strict about mortgage lates. Multiple 30-day lates and a 60-day late within 24 months represent significant derogatory history. Guidelines may require denial, higher down payment, or strong compensating factors.

62. The FICO score used for mortgage qualification is determined by:

✓ A) The average of all three bureau scores

For mortgage qualification, each borrower's representative score is the middle of three bureau scores (or lower of two if only two are available). For multiple borrowers, the loan is qualified using the LOWEST of each borrower's representative score.

63. Under Reg Z, which disclosure must be provided to the borrower within 3 business days of receiving a completed application?

✓ D) The Good Faith Estimate

The Loan Estimate must be delivered or mailed no later than 3 business days after receiving a completed application. 'Business days' for this purpose are calendar days except Sundays and federal holidays.

64. The Initial Escrow Statement must be provided to the borrower no later than:

✓ C) 30 days after closing

RESPA requires delivery of the Initial Escrow Account Disclosure Statement at or before settlement. If not delivered at settlement, it must be delivered within 45 days after settlement.

65. A borrower who wants to avoid mortgage insurance and can put 10% down might consider which loan structure?

✓ B) A conventional 80/10/10 piggyback loan structure

An 80/10/10 piggyback structure uses an 80% first mortgage (no PMI at 80% LTV), a 10% second mortgage/HELOC, and 10% down payment — avoiding PMI entirely on the first lien.

66. A USDA Rural Housing loan is available to borrowers in eligible rural areas and has which of the following features?

✓ A) Requires 5% down payment

USDA Rural Housing (Section 502) loans offer 100% financing (no down payment) for eligible borrowers in designated rural/suburban areas. There is no first-time homebuyer requirement; income limits apply. Guarantee fee applies.

67. At closing, the borrower signs the promissory note, which represents:

✓ D) The escrow instructions for the title company

The promissory note (mortgage note) is the borrower's personal promise to repay the debt. The deed of trust or mortgage creates the lien on the property. These are two separate documents executed at closing.

68. Which document transfers title to real property from the seller to the buyer?

✓ C) Warranty Deed

A warranty deed (or other deed type) transfers title from seller to buyer. A deed of trust is the security instrument giving the lender a lien. The promissory note is the debt instrument. The CD is a disclosure document.

69. When calculating DTI, which of the following monthly obligations would NOT be included in the back-end ratio?

✓ B) Minimum credit card payment

Child care expenses are NOT included in the DTI ratio for conventional loans (Fannie/Freddie). However, FHA and some programs may consider them. Car loans, minimum credit card payments, and student loans in repayment ARE included.

70. A collection account for \$800 on a borrower's credit report — under conventional guidelines, the MLO should typically:

✓ **A) Require payoff before closing in all cases**

Fannie Mae DU generally does not require payoff of collection accounts. However, some lenders have overlays. Medical collections may be treated differently. The MLO should follow specific program guidelines, not a one-size-fits-all rule.

71. Under HMDA, an 'application' is defined as an oral or written request for a home purchase loan, home improvement loan, or refinancing that is made in accordance with procedures used by the financial institution for the type of credit requested. Which of the following is MOST LIKELY to be reportable under HMDA?

✓ **D) A verbal request for information about loan programs**

HMDA reporting is triggered by an application using the institution's procedures. A pre-approval that results in an approval letter is generally reportable. Prequalifications based on verbal information and rate inquiries are typically not reportable.

72. The Loan Estimate's page 3 contains the 'Comparisons' section, which shows the borrower:

✓ **C) The seller's net proceeds from the transaction**

Page 3 of the LE 'Comparisons' section shows: APR, Total Interest Percentage (TIP = total interest paid over loan life as % of loan amount), and 5-year figures (total payments and principal paid). This helps borrowers compare loan options.

73. A reverse mortgage (HECM) is available to borrowers who are:

✓ **B) At least 62 years old, own their home, and occupy it as their principal residence**

HECMs (Home Equity Conversion Mortgages) require all borrowers to be at least 62 years old, own the property (or have substantial equity), and occupy it as their principal residence. The home need not be free and clear.

74. A subordination agreement is used when:

✓ **A) The borrower has insufficient income to qualify**

A subordination agreement is a legal document where the holder of a junior lien (second mortgage, HELOC) agrees to subordinate their lien position behind a new or refinanced first mortgage, allowing the new first to take priority.

75. A commission-based borrower must typically show commission income for at least how many years to use it for qualifying?

✓ **D) 3 years**

Commission income requires 2 years of documentation to use for qualifying (typically averaged over 24 months). Lenders need to establish a history and likelihood of continuance. If less than 2 years, it generally cannot be used.

76. A borrower filed Chapter 7 bankruptcy that was discharged 3 years ago. They are applying for a conventional loan. Under Fannie Mae guidelines, this borrower:

✓ **C) Is permanently ineligible for conventional financing**

Fannie Mae requires a 4-year waiting period from the discharge or dismissal date of a Chapter 7 bankruptcy for conventional loans (2 years with extenuating circumstances). At 3 years post-discharge, this borrower does not yet qualify.

77. The Equal Credit Opportunity Act requires lenders to collect applicant demographic information (race, sex, ethnicity) on home purchase loans. If the borrower refuses to provide this information, the MLO should:

✓ **B) Note the refusal and use visual observation and surname if the application is taken face-to-face**

Under HMDA and Reg C, if an applicant refuses to provide demographic info on a face-to-face application, the MLO must note the refusal and then use visual observation and surname to complete the fields. Borrowers cannot be denied for refusing.

78. The Special Information Booklet (Your Home Loan Toolkit) must be provided to the borrower:

✓ **A) At or before the time the Loan Estimate is provided**

RESPA requires the Special Information Booklet (now 'Your Home Loan Toolkit') to be provided at the time or before the Loan Estimate is delivered (within 3 business days of application). It's required for purchase transactions, not refinances.

79. A construction-to-permanent loan combines which two loan phases?

✓ **D) First and second mortgage into one payment**

A construction-to-permanent (C2P) loan funds the construction phase and then converts to a permanent mortgage — typically in one closing. This avoids two separate closings and sets the permanent rate at origination.

80. Title insurance protects against which of the following risks?

✓ **C) Defects in title that existed prior to the policy date**

Title insurance protects against title defects that existed prior to the policy date (prior liens, forgery, undisclosed heirs, errors in public records). It does NOT cover future encumbrances, physical damage, or value changes.

81. Rental income from a property the borrower owns may be used for qualifying when:

- ✓ B) The borrower has a 2-year history of receiving rental income documented on tax returns, or is purchasing a multi-unit property with lease agreements

Fannie Mae generally requires rental income to be documented with 2 years of tax returns (Schedule E). For new rental properties or owner-occupied multi-unit purchases, lease agreements and specific guidelines apply.

82. A 'rapid rescore' service can be used by an MLO to:

- ✓ A) Permanently delete negative items from a credit report

Rapid rescore is a legitimate service where a lender (through their credit reporting company) submits documentation of recent changes (paid-off account, removed error) and the bureaus update the credit report quickly — often within 3-5 business days.

83. When multiple borrowers apply together, the NMLS Unique Identifier that must appear on the loan application belongs to:

- ✓ D) The processing company that submits the loan

The MLO's NMLS Unique Identifier must appear on the loan application (1003) and all loan documents. It identifies the originating MLO, not the borrowers. This is a SAFE Act requirement.

84. Which of the following fees may NOT increase from the Loan Estimate to the Closing Disclosure without a valid changed circumstance?

- ✓ C) Lender origination charges

Lender origination charges (origination fees, points) fall in the zero-tolerance category — they cannot increase at all from LE to CD without a valid changed circumstance. Transfer taxes are also zero-tolerance. Lender-required insurance and services the borrower cannot shop for are also zero-tolerance.

85. An interest-only mortgage during the interest-only period will result in:

- ✓ B) A decrease in the loan balance each month equal to the interest payment

During the interest-only period, 100% of each payment goes to interest — the principal balance does not decrease. When the IO period ends, payments reset to fully-amortizing amounts (often higher). Negative amortization only occurs if the payment is less than the interest due.

86. At loan closing, 'proration' refers to:

- ✓ A) The lender's calculation of monthly PMI

Proration divides ongoing expenses (property taxes, prepaid interest, HOA dues) between buyer and seller based on the closing date. The seller pays their share through the closing date; the buyer pays from the day after closing forward.

87. Under the CFPB's UDAP authority, an act is 'UNFAIR' when ALL THREE of the following elements are present. Which option CORRECTLY states all three required elements?

- ✓ D) The act takes unreasonable advantage of a consumer's lack of understanding, inability to protect their interests, or reasonable reliance

UNFAIR requires all three: (1) causes/likely to cause substantial injury; (2) injury not reasonably avoidable by consumers; (3) injury not outweighed by countervailing benefits. Intentionality is NOT required. Option D describes ABUSIVE. Option C describes DECEPTIVE.

88. A mortgage advertisement states 'No closing costs ever!' when in fact closing costs are rolled into the loan balance and financed. To prove this is DECEPTIVE under UDAP, a regulator must establish all of the following EXCEPT:

- ✓ C) The misleading representation is material to the consumer's decision

DECEPTIVE has three elements: (1) misleading act or omission; (2) reasonable consumer would be misled; (3) materiality. INTENT is NOT required for UDAP Deceptive. The omission of how costs are financed is material and would mislead a reasonable consumer.

89. An MLO explains a complex ARM product to a borrower with limited English proficiency using only English-language documents and a 45-minute rushed presentation. The borrower signs without understanding. The CFPB would MOST LIKELY characterize this as:

- ✓ B) DECEPTIVE — because the MLO made misleading statements

ABUSIVE includes materially interfering with the ability of a consumer to understand the terms or conditions of a financial product. Using documents the borrower cannot understand and rushing through explanations materially interferes with comprehension. This matches the ABUSIVE prong.

90. Which of the following scenarios BEST illustrates the 'unreasonable advantage of reasonable reliance' prong of ABUSIVE?

- ✓ A) A lender charges excessive fees after disclosing them in fine print

The 'unreasonable advantage of reasonable reliance' prong of ABUSIVE is triggered when a covered person takes advantage of a consumer who reasonably relies on the covered person to act in the consumer's interest. An MLO steering a trusting borrower to a higher-commission product for personal gain is the classic example.

91. An 'air loan' scheme is MOST ACCURATELY defined as:

✓ D) A predatory loan with excessively high fees and an inflated interest rate

An air loan is entirely fictitious: no real property, no real borrower, and no real transaction. The fraudster creates fake documentation for every element. It is the purest form of mortgage fraud for profit and typically involves insiders at the lender or title company.

92. In mortgage fraud statistics, what percentage of mortgage fraud dollar losses is attributable to 'fraud for profit' by industry insiders?

✓ C) Approximately 80%

Industry data consistently shows that fraud for profit (committed by real estate agents, MLOs, appraisers, title agents, attorneys, and other insiders) accounts for approximately 80% of mortgage fraud dollar losses — making it far more costly than borrower fraud for housing.

93. A borrower states on the loan application that the property will be their primary residence when they actually plan to use it as a rental investment property. This is an example of:

✓ B) Occupancy fraud — the most common form of fraud for housing

Occupancy fraud — misrepresenting a property as a primary residence when it will be an investment property — is the most common form of fraud for housing. Primary residences get better rates and lower down payments, creating a financial incentive to misrepresent.

94. 'Loan flipping' in the context of predatory lending refers to:

✓ A) Purchasing a home, renovating it quickly, and reselling at a profit

Predatory loan flipping repeatedly refinances the same borrower, generating fees each time while eroding home equity — all without net benefit to the borrower. It's a hallmark of predatory lending, often targeting elderly borrowers with substantial equity.

95. 'Equity stripping' as a predatory lending practice occurs when:

✓ D) An appraiser understates value to reduce property taxes

Equity stripping is extending credit to a borrower whose equity in their home is the only qualifying factor, without regard to ability to repay. The inevitable default and foreclosure strips the borrower of their equity. The lender profits regardless of whether the borrower can repay.

96. An MLO is compensated differently based on the loan product placed, receiving higher compensation for higher-rate products. Under what conditions does this violate Reg Z's loan originator compensation rules?

✓ C) Only when the borrower is a protected class member

Reg Z's LO compensation rule prohibits compensation that varies based on loan terms (interest rate, APR, prepayment penalty, loan amount). Compensation may vary by loan TYPE (FHA vs conventional) or other non-term factors. Steering to higher-comp products based on rate is the violation.

97. A borrower brings \$15,000 in cash to pay a loan application fee. Under BSA rules, the lender must:

✓ B) File a Currency Transaction Report (CTR) within 15 business days

BSA requires a Currency Transaction Report (CTR) for any cash transaction exceeding \$10,000. The CTR requirement is automatic — it doesn't require suspicion of illegal activity. CTRs are filed within 15 days. SARs are for suspicious activity, but CTRs are for cash over \$10,000 regardless.

98. An MLO discovers that a borrower appears to be structuring cash deposits to avoid the \$10,000 CTR threshold (depositing \$9,500 multiple times). The MLO should:

✓ A) Ask the borrower directly whether they are structuring deposits

Structuring is a BSA violation. The MLO must file a SAR within 30 days of detecting the suspicious activity. Critically, 'tipping off' — alerting the subject that a SAR is being filed — is PROHIBITED by federal law and can result in criminal penalties.

99. A lender enrolls all borrowers in an optional credit insurance product by default, requiring them to opt out rather than opt in. The monthly premium adds \$80 to the payment. Borrowers who don't notice the opt-out provision pay for years. This is MOST LIKELY:

✓ D) ABUSIVE — because the product has no value

This is a classic UNFAIR practice: the default enrollment with obscured opt-out means injury (paying unnecessary premiums for years) is not reasonably avoidable. Consumers who read everything might catch it, but the design prevents reasonable avoidance. CFPB has taken action on similar cases.

100. In a property flipping fraud scheme, a property is sold multiple times in a short period at rapidly inflating prices using fraudulent appraisals. Which participant is **MOST CRITICAL** to the scheme?

✓ **C) The title company conducting the final closing**

In property flipping fraud, the corrupt appraiser is the linchpin — without inflated appraisal reports, the lender would not fund loans at inflated values. The appraiser's fraudulent reports make the entire scheme possible, which is why appraisers receive significant scrutiny in fraud investigations.

101. An MLO tells a borrower 'this loan has no prepayment penalty' during the sales presentation. The loan documents include a 3-year prepayment penalty in fine print on page 47. Under UDAAP Deceptive, this verbal statement:

✓ **B) Is a violation because the oral representation was misleading, a reasonable consumer would rely on it, and it is material to the loan decision**

UDAAP Deceptive covers oral misrepresentations. The three elements are met: (1) 'no prepayment penalty' was a misleading statement; (2) a reasonable consumer would rely on their MLO's representation; (3) the prepayment penalty is clearly material. Intent is irrelevant to DECEPTIVE.

102. An MLO has a financial interest in a title company that the MLO regularly recommends to borrowers. The **MINIMUM** required action is:

✓ **A) Disclose the affiliated business arrangement in writing and give borrowers the freedom to choose another provider**

RESPA's Affiliated Business Arrangement requirements mandate: (1) written disclosure of the arrangement; (2) estimate of charges; (3) freedom to choose other providers. Simply disclosing is the minimum; the MLO must not require use of the affiliate.

103. The **ABUSIVE** prong of UDAAP is distinct from **UNFAIR** and **DECEPTIVE** because:

✓ **D) It requires showing actual monetary harm to consumers**

ABUSIVE is unique because it can be established by showing EITHER prong: (1) materially interfering with understanding, OR (2) taking unreasonable advantage (of lack of understanding, inability to protect interests, or reasonable reliance). Unlike UNFAIR, ABUSIVE does not require a multi-element test — one prong suffices.

104. Single-premium credit insurance packaged into a mortgage loan is considered predatory because:

✓ **C) It is prohibited by TILA in all cases**

Single-premium credit insurance (life, disability, unemployment) is predatory when the entire premium is added to the loan balance at closing. The borrower pays interest on the premium for the loan term, while the benefit is often negligible. Monthly premium insurance (if truly needed) is generally preferable.

105. A borrower receives a 'gift' from their real estate agent equal to the required down payment, but the gift is documented as coming from a family member. This arrangement constitutes:

✓ **B) Gift fraud — a form of fraud for housing that misrepresents the true source of funds and conceals an undisclosed agreement between parties**

Misrepresenting the source of down payment funds as a family gift when they actually come from the real estate agent (who has a financial interest in the transaction) is gift fraud. This also violates underwriting requirements that prohibit gifts from interested parties. It is fraud for housing.

106. The **SAFE Act** requires state-licensed MLOs to complete how many total hours of pre-licensing education before obtaining their initial license?

✓ **A) 8 hours**

The SAFE Act mandates 20 hours of pre-licensing education for state-licensed MLOs: 3 hours federal law, 3 hours ethics (including fraud, consumer protection, fair lending), 2 hours nontraditional mortgage products, and 12 hours of elective content.

107. Annual continuing education for state-licensed MLOs must include which of the following specific components?

✓ **D) 8 hours on any NMLS-approved topics**

Annual CE (8 hours total) must include: 3 hours federal law and regulations, 2 hours ethics (fraud, consumer protection, fair lending), 2 hours nontraditional mortgage products, and 1 hour of elective content. The breakdown is specific and tested on the SAFE exam.

108. An MLO completed an NMLS-approved CE course called 'Federal Mortgage Law Update 2024' in 2024. In 2025, the same MLO wants to take the same course to satisfy CE. This is:

✓ **C) Permissible only if the course content was updated**

The SAFE Act prohibits an MLO from satisfying annual CE requirements by taking the same NMLS-approved course in consecutive calendar years. This rule ensures MLOs are exposed to new content and prevents gaming the system by repeatedly taking an easy course.

109. Under the SAFE Act, an individual must obtain a state MLO license (or register through NMLS as a registered MLO) if they:

✓ **B) Take residential mortgage loan applications or offer or negotiate terms of residential mortgage loans for compensation or gain**

The SAFE Act requires licensing for individuals who: (1) take residential mortgage loan applications, OR (2) offer or negotiate loan terms for compensation or gain. Loan processors who do not negotiate terms may be exempt; managers who don't originate may be exempt.

110. The NMLS Unique Identifier is:

✓ **A) Assigned per employer and changes when the MLO changes jobs**

The NMLS Unique Identifier is permanent — assigned once to an MLO and retained through changes in employer, state, and license status for the duration of their career. It must appear on all loan documents, advertisements, and solicitations.

111. The transitional license provision under EGRRCPA Section 106 allows an MLO to originate loans in a new state for up to:

✓ **D) 120 days**

The transitional license allows up to 120 days of origination activity in a new state while the MLO's full state license application is pending. It applies to: (1) registered MLOs (bank employees) becoming state-licensed, and (2) state-licensed MLOs moving to a new state.

112. A conviction for which of the following crimes results in a PERMANENT bar from obtaining an MLO license, with NO exceptions?

✓ **C) Any felony involving fraud, dishonesty, breach of trust, or money laundering**

The SAFE Act imposes a permanent, lifetime bar on licensing for anyone convicted of a felony involving fraud, dishonesty, breach of trust, or money laundering. This includes forgery, embezzlement, extortion, and financial crimes. There is NO waiver, NO exception, and NO expiration.

113. A state enacts a mortgage licensing law that requires MLOs to complete 25 hours of pre-licensing education instead of the federal SAFE Act minimum of 20 hours. This state law is:

✓ **B) Permissible — states may impose requirements STRICTER than the federal SAFE Act minimum**

The SAFE Act sets a floor, not a ceiling. States may impose stricter requirements than the federal minimums. Many states require additional hours of state-specific content, higher education requirements, or additional testing. The federal SAFE Act requirements are the minimum.

114. NMLS Consumer Access, the public-facing NMLS database, allows consumers to view all of the following EXCEPT:

✓ **A) An MLO's current license status**

NMLS Consumer Access (public) shows: license status, employer history, and regulatory/disciplinary actions. It does NOT show exam scores, home addresses, or credit report information. This information is maintained in NMLS but not disclosed to the public.

115. Which of the following individuals is exempt from state MLO licensing requirements under the SAFE Act?

✓ **D) A self-employed broker who originates fewer than 5 loans per year**

Employees of federally chartered banks, thrifts, and credit unions are exempt from state licensing — they instead REGISTER through NMLS as 'registered MLOs.' They are subject to oversight by their federal regulator (OCC, FDIC, NCUA) rather than state regulators.

116. Which of the following topics must be covered in the 3-hour ethics component of pre-licensing education?

✓ **C) Federal reserve monetary policy**

The SAFE Act's 3-hour ethics pre-licensing requirement specifically covers: fraud prevention, consumer protection issues, and fair lending laws. This targeted ethics requirement reflects the importance of ethical conduct in mortgage origination.

117. A state-licensed MLO in Texas accepts a job with a lender licensed in California. The MLO has not yet obtained a California state license. Under the transitional license provision, the MLO may:

✓ **B) Originate loans in California for up to 120 days while their California license application is pending, provided they meet notice and other requirements**

The transitional license under EGRRCPA §106 allows a state-licensed MLO moving to a new state to originate in that state for up to 120 days while their new state license application is pending. The MLO must meet the new state's application requirements and provide notice.

118. An MLO applicant was convicted of felony assault (not involving any financial crime) 5 years ago. Under the SAFE Act, this:

✓ **A) Permanently bars the applicant from obtaining an MLO license**

Felonies NOT involving fraud, dishonesty, breach of trust, or money laundering (such as assault) result in a 7-year bar from the conviction date. After 7 years, the applicant may apply. Only financial crimes (fraud, dishonesty, breach of trust, money laundering) trigger the permanent bar.

119. An MLO's license lapses because they fail to complete CE and renew by December 31. During the lapse period, the MLO may:

✓ D) Transfer to a registered (bank) MLO status temporarily

A lapsed MLO license means ZERO origination activity — no grace period whatsoever. The MLO must complete CE, pay renewal fees, and reapply before originating any loan. Continuing to originate on a lapsed license is a SAFE Act violation and may result in further disciplinary action.

120. The SAFE Act's definition of 'residential mortgage loan' covers loans secured by a dwelling that is:

✓ C) Only a single-family detached home

The SAFE Act's licensing requirements apply to residential mortgage loans secured by a 1-to-4 family dwelling, including condominiums, cooperatives, and manufactured homes on permanent foundations. This covers both owner-occupied and investment 1-4 unit residential properties.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	EXCELLENT ✓	Review any missed; you're on track to pass.
90–107 (75–89%)	PASS ✓	Close! Shore up weak topics in study notes.
72–89 (60–74%)	BORDERLINE	Re-read weak sections; retake this exam.
0–71 (below 60%)	NEEDS WORK	Study notes first, then retry in 24 hrs.